

MARKET ANALYSIS

PMG's Society Brooklyn Shows Lease-Up Time Is Now the Most Expensive Ingredient in Development

The Gowanus project's resort amenities and 57,000 sq ft of retail reveal a capital stack betting on absorption speed.

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A source-grounded Light Tower Insight. The complete note follows.

PMG has opened Society Brooklyn, a two-tower, 517-unit luxury rental development on the Gowanus Canal. The headline features are designed to stop a scroll: a waterfront esplanade by SCAPE, an outdoor pool and sundeck, a jumbotron theater, and over 57,000 square feet of retail space. Studios start at \$3,321 a month, with up to three months free on select residences.

The more revealing number is not the rent. It is the lease-up clock.

PMG is not simply delivering apartments. It is placing a large, specific bet on absorption speed in a neighborhood that is still becoming what its zoning promised. The 2021 Gowanus rezoning was supposed to unlock a mixed-use district alongside a Superfund cleanup. That process is underway, but it is not finished. The canal is still being remediated. The retail pipeline is still filling. The residential market is absorbing new supply in a rate environment that has not cooperated with pro-formas written three years ago.

Time is the most expensive ingredient in this capital stack. Every month the lease-up runs longer than underwriting assumed is a month of carry that was not budgeted, a month of construction debt that is not being paid down by stabilized cash flow, and a month of basis risk for the equity partners who funded the gap.

The amenity package is a response to that pressure. A waterfront park, a resort pool, a co-working hub, a children's playroom, a smart package room, and a 24/7 attended lobby are not luxuries. They are lease-up accelerants. They are designed to compress the time between certificate of occupancy and stabilized occupancy, because every day of compression reduces the total cost of capital on the project. The jumbotron theater is not a lifestyle feature. It is a yield-protection device.

The retail component adds another layer of timing risk. Over 57,000 square feet of ground-floor commercial space, with more than 21,000 square feet reserved for local makers and artists, is a requirement of the rezoning. It is also a lease-up challenge of its own. Retail tenants in emerging neighborhoods do not sign up on a developer's schedule. They sign up when the residential density is

visible, the foot traffic is real, and the rent comps are established. PMG has announced four tenants: Devocion Coffee, Sake Brooklyn, Tuned Bicycle Service Studio, and GoodVets. That is a credible start. It is not a fully leased retail podium. The remaining square footage will lease at the pace of the neighborhood's maturation, not at the pace of the developer's debt service.

The capital partners underwriting this project are making a specific judgment: that Gowanus will absorb 517 luxury units faster than the market expects, and that the retail will follow. That judgment is not obviously wrong. The neighborhood has location advantages, a rezoning framework, and a pipeline of new development that will eventually create the density the retail needs. But the judgment is also not risk-free. It depends on rent growth, interest rates, and tenant demand all cooperating within a narrow window of time.

What the market should test next is not whether Society Brooklyn leases up. It will. The question is how long it takes, and at what effective rent. The three months free on select residences is a signal that the developer is already using concessions to move units. That is normal in a lease-up. The magnitude and duration of those concessions will tell the real story. If they shrink within six months, the absorption thesis is working. If they expand, the time cost is rising.

For owners of stabilized assets in Brooklyn, the implication is straightforward: new supply is arriving with a cost structure that requires full-priced leases to work. That puts downward pressure on rent growth at the margin, but it also means the new supply has less room to cut rents without breaking its own underwriting. For lenders underwriting construction loans in emerging zones, the lesson is that lease-up speed, not construction cost, is now the binding constraint on development returns. The project that leases in 12 months is a different investment than the project that leases in 18 months, even if the hard costs are identical.

PMG has built a product designed to win the lease-up race. The pool, the park, the theater, and the coffee shop are all tools for compressing time. The market will soon find out whether the tools are enough.

SOURCES

— 6sqft — <https://www.6sqft.com/society-brooklyn-gowanus-waterfront-park-outdoor-pool/>

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